ISLAMIC REPUBLIC OF PAKISTAN

PARLIAMENT OF PAKISTAN — MAJLIS-E-SHOORA

RESEARCH PAPER & PROPOSED LEGISLATION

THE CONSTITUTION (TWENTY-EIGHTH AMENDMENT) BILL

2026

A Comprehensive Constitutional Framework for

Economic Accountability, Fiscal Discipline & National Development

Proposed by: Rehan Janjua

Presented to: Parliament of Pakistan (Majlis-e-Shoora)

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Constitutional Basis: Article 239, Constitution of Pakistan 1973

PREAMBLE

WHEREAS Pakistan faces persistent and structural economic challenges, including chronic trade deficits, fiscal mismanagement, unsustainable public debt, high inflation, energy shortages, and low human development indicators;

WHEREAS the Parliament of Pakistan, consisting of the National Assembly (336 seats) and the Senate (96 seats), bears collective constitutional responsibility for economic stewardship and the welfare of the people;

WHEREAS elected representatives must be held directly accountable for macroeconomic outcomes, particularly the trade balance — the difference between Pakistan's exports and imports — which stood at a cumulative deficit of $21.35 billion in the first ten months of FY 2024-25, representing a deterioration of 8.81% year-on-year;

WHEREAS the Twenty-Sixth Constitutional Amendment (October 2024) and the Twenty-Seventh Constitutional Amendment (November 2025) have already been enacted, this proposed legislation constitutes the Twenty-Eighth Amendment to the Constitution of the Islamic Republic of Pakistan;

NOW, THEREFORE, in exercise of the powers conferred by Article 239 of the Constitution of the Islamic Republic of Pakistan, and with the requisite two-thirds majority in both Houses of Parliament, it is hereby enacted as follows:

PART I — PRELIMINARY

Article 1: Short Title, Commencement & Extent

1. This Act may be cited as the Constitution (Twenty-Eighth Amendment) Act, 2026.
2. It shall come into force upon signature by the President of Pakistan and shall apply to all existing and future Members of the National Assembly (MNAs) and Senators.
3. It extends to the whole of Pakistan.

Article 2: Definitions

In this Amendment, unless the context otherwise requires:

- "Trade Deficit" means the excess of total merchandise and services imports over total merchandise and services exports in a given Fiscal Year, as measured and published by the Pakistan Bureau of Statistics (PBS) and verified by the State Bank of Pakistan (SBP).

- "Baseline Trade Deficit" means the official trade deficit figure for FY 2024-25, which was $37.33 billion (USD) on an annualised basis, to serve as the reference point for all deficit calculations under this Amendment.
- "Fiscal Year" means the period from 1 July to 30 June as per Pakistan's official fiscal calendar.
- "Parliamentarian" means any Member of the National Assembly (MNA) or Senator of Pakistan in active service.
- "Electoral Disqualification" means ineligibility to contest any election to the National Assembly, Senate, or any Provincial Assembly for a period as prescribed herein.
- "Economic Performance Commission (EPC)" means the independent statutory body established under Article 8 of this Amendment.
- "Trigger Threshold" means the percentage increase in the trade deficit relative to the Baseline, which activates accountability provisions under this Amendment.
- "Remittances" means worker remittances from overseas Pakistanis, as recorded by the State Bank of Pakistan.
- "HDI" means Pakistan's Human Development Index ranking as published annually by the United Nations Development Programme.

PART II — ECONOMIC ACCOUNTABILITY FRAMEWORK

Article 3: The Trade Deficit Accountability Mechanism

3(1) — The Core Principle

All members of the National Assembly and the Senate, as a collective governing body, bear direct constitutional accountability for Pakistan's trade deficit. This accountability shall be enforced through the electoral disqualification mechanism described herein.

3(2) — Trigger Thresholds and Graduated Consequences

The following graduated accountability system shall apply, measured at the end of each Fiscal Year by the Economic Performance Commission:

Clause	Provision
Tier 1	Trade deficit increases by more than 10% above the Baseline in any single Fiscal Year: All MNAs and Senators who were members for the full fiscal year receive an Official Parliamentary Censure entered into the permanent public record. No electoral bar at this tier — this is a warning mechanism.
Tier 2	Trade deficit increases by more than 20% above the Baseline in any single Fiscal Year, OR persists above 15% for two consecutive Fiscal Years: All MNAs who were serving members during the relevant period are barred from contesting the immediately subsequent National Assembly election. Senators mid-term are not barred from completing their current term but are barred from re-election to any chamber for one election cycle.
Tier 3	Trade deficit increases by more than 35% above the Baseline in any single Fiscal Year, OR persists above 20% for three consecutive Fiscal Years: Full electoral disqualification of all current MNAs and Senators from the next two election cycles (10 years for MNAs, one full Senate term cycle for Senators). The Prime Minister, Finance Minister, and Planning Minister additionally face automatic disqualification from all public office for 10 years.
Exemption	A Fiscal Year in which a globally declared economic shock (pandemic, world war, commodity price collapse of over 40%) is verified by the IMF and World Bank may be excluded from the consecutive-year count by a two-thirds vote of the Economic Performance Commission, subject to Supreme Court ratification.

3(3) — Individual Exemptions

A Parliamentarian shall be individually exempt from electoral disqualification if they can demonstrate, before the Economic Performance Commission, all three of the following:

4. They formally voted against, or publicly dissented from, the budget and economic policies that contributed to the deficit increase, with their dissent recorded in Hansard (official parliamentary record).
5. They proposed alternative legislation or a Private Member's Bill within that Fiscal Year aimed at export promotion, import substitution, or deficit reduction, regardless of whether it passed.
6. Their own publicly declared personal assets and tax filings are fully compliant with FBR requirements, and they have not benefited financially from import-related policies.

3(4) — Non-Applicability to Certain Reserved Seats

Members elected on reserved seats for women and non-Muslim minorities shall be subject to the same provisions as general seat members. The rationale is that reserved seat members vote on budget legislation equally and bear equal responsibility. However, first-term reserved seat members (serving for less than 12 months of the triggering fiscal year) shall be subject only to Tier 1 censure, not electoral disqualification, in their first term.

3(5) — Correction: Scope of Disqualification Applies to Both Houses

NOTE: The original concept proposed by the drafter applied this mechanism only to the National Assembly. This Amendment corrects that approach. Since the Senate must also pass budget legislation and is equally responsible for fiscal policy under Articles 73 and 84 of the 1973 Constitution, both chambers are subject to this mechanism. The Senate, being a continuing chamber not subject to dissolution (Article 59), cannot be collectively dissolved — therefore, Senators face electoral disqualification from their next election rather than mid-term removal.

PART III — COMPREHENSIVE REFORM FRAMEWORK

The trade deficit accountability mechanism alone is insufficient. This Part establishes the broader economic and governance reforms necessary to address Pakistan's systemic challenges, which are structurally interlinked.

Article 4: Export Promotion & Industrial Policy

4(1) — Constitutional Mandate for Export Growth

The federal government shall be constitutionally obligated to maintain an Export Growth Target of no less than 8% per annum in USD terms. The Finance Minister shall present a dedicated Export Performance Report to Parliament every six months, to be debated publicly.

4(2) — Export Diversification Requirement

Pakistan's current export structure is dangerously concentrated: textiles and garments account for approximately $16.3 billion of total exports of $40.69 billion (FY 2025), representing over 40% of export revenue. This over-reliance makes Pakistan vulnerable to global textile demand shocks.

Parliament shall enact, within 18 months of this Amendment's commencement, legislation establishing:

- A National Export Diversification Fund, capitalized at no less than 0.5% of GDP annually from the federal budget.
- Tax holidays of 10 years for new export-oriented industries in technology, pharmaceuticals, engineering goods, agri-processing, and IT services.
- A fast-track single-window clearance system for all export-related businesses, eliminating bureaucratic delays within 180 days.
- Special Economic Zones (SEZs) in each province, with guaranteed uninterrupted electricity supply, prioritized over residential supply during business hours.

4(3) — IT & Digital Exports

Pakistan's IT exports, currently approximately $3.2 billion annually, have the potential to reach $25 billion by 2030 with adequate policy support. The government shall establish a Digital Pakistan Export Authority with the following powers:

- Issue freelancer-friendly banking regulations allowing direct foreign currency retention without mandatory conversion.
- Negotiate bilateral Digital Trade Agreements with the UAE, USA, UK, Saudi Arabia, and the European Union within 24 months.
- Establish IT parks in all major cities with subsidized broadband at minimum 100 Mbps, funded through the Universal Service Fund.

Article 5: Import Management & Energy Independence

5(1) — Energy Import Reduction

Pakistan's largest import category is petroleum products, which cost approximately $15.1 billion in FY 2025. This single category is the primary structural driver of the trade deficit. Reducing energy imports is therefore the single most impactful lever for deficit reduction.

The government shall:

- Achieve 40% of electricity generation from renewable sources (solar, wind, hydro) by 2030, reducing oil import dependency by at least 25%.
- Mandate that all new government vehicles procured after 2027 be electric vehicles.
- Complete the Thar Coal gasification projects to substitute imported LNG with domestic coal gas, reducing energy import bills by an estimated $3-4 billion annually.
- Accelerate the CPEC industrial cooperation framework to develop domestic manufacturing capacity for machinery and industrial inputs — currently $7.4 billion in imports.

5(2) — Luxury Import Surcharge

A permanent Constitutional Luxury Import Surcharge of 50% shall be levied on the following categories, revenue to be directed exclusively to the Export Diversification Fund:

- New motor vehicles with engine capacity above 1800cc not assembled in Pakistan.
- Imported finished electronic consumer goods (mobile phones, televisions, appliances) where a domestic equivalent exists.
- Imported processed food items with domestic substitute availability.

This surcharge may only be reduced or removed by a two-thirds majority in Parliament and approval by the Economic Performance Commission.

Article 6: Fiscal Discipline & Debt Management

6(1) — Constitutional Debt Ceiling

Pakistan's external debt stood at $138.01 billion as of December 2025. The total public debt-to-GDP ratio, combined with debt service obligations, poses a severe structural risk to the economy.

This Amendment establishes a Constitutional Debt Ceiling: federal government borrowing shall not cause total public external debt to exceed 70% of GDP. Any budget proposing to breach this ceiling shall require approval by:

7. A two-thirds majority in both Houses of Parliament.
8. A national referendum if the ceiling would be breached for more than two consecutive years.
9. A fiscal consolidation plan approved by the Economic Performance Commission, published and publicly debated before the vote.

6(2) — IMF Dependency Reduction Plan

Pakistan has entered IMF programs repeatedly since the 1950s, most recently the $7 billion Extended Fund Facility agreed in 2024. While IMF support provides short-term stability, chronic dependency

reflects structural fiscal failure. Parliament shall enact a 10-Year IMF Exit Strategy, with annual benchmarks, requiring no new IMF programs after 2034.

6(3) — Parliamentary Salary Linkage

The salaries, allowances, and perquisites of all Members of the National Assembly and Senators shall be constitutionally linked to economic performance:

- If Pakistan's GDP growth exceeds 5% in a Fiscal Year: parliamentarians receive a 10% salary increase.
- If GDP growth is between 3-5%: salaries remain frozen.
- If GDP growth falls below 3%, or the trade deficit triggers Tier 1 or above: parliamentarians take a 15% salary reduction until the following fiscal year review.
- The Prime Minister and Cabinet Ministers face a 25% salary reduction under Tier 1 conditions and 40% under Tier 2 or Tier 3 conditions.

Article 7: Taxation Reform & Revenue Generation

7(1) — Tax-to-GDP Ratio Target

Pakistan's tax-to-GDP ratio is approximately 9-10%, among the lowest in the world and well below the South Asian average of 14%. This chronic under-taxation forces the government to borrow, driving both fiscal and trade deficits.

This Amendment sets a Constitutional Tax-to-GDP Target of 18% to be achieved by FY 2030-31, with annual mandatory milestones. Failure to meet milestones triggers automatic Tier 1 consequences for the sitting Parliament.

7(2) — Agricultural Income Tax

Large agricultural landholders — many of whom are sitting parliamentarians — have historically been exempt from income tax, creating a deeply inequitable tax system and protecting elite interests. This Amendment:

10. Mandates uniform agricultural income tax at the same rates as salaried income for net agricultural income exceeding PKR 1.2 million per annum, effective from FY 2027-28.
11. Prohibits any member of Parliament, Provincial Assembly, or Senate from voting on agricultural tax legislation if they or their immediate family derive more than 30% of declared income from agriculture — unless they recuse themselves.

7(3) — Real Estate Transaction Tax & Documentation

Pakistan's real estate sector is largely undocumented and serves as a primary vehicle for parking black money and untaxed wealth. A national real estate documentation drive, backed by constitutional mandate, shall require:

- All property transactions above PKR 5 million to be conducted through banking channels with complete documentation.
- A Capital Gains Tax of 20% on real estate sold within 5 years of purchase, with no exemptions for political figures.
- Mandatory declaration of all real estate holdings (domestic and foreign) by all public officeholders within 60 days of taking office.

Article 8: The Economic Performance Commission (EPC)

8(1) — Establishment

There shall be established a permanent, independent Economic Performance Commission of Pakistan. The EPC shall be a constitutional body with the same status and protections as the Election Commission of Pakistan.

8(2) — Composition

The EPC shall consist of:

- Chairperson: A former Governor of the State Bank of Pakistan or former Chief Economic Advisor, nominated by the Chief Justice of the Supreme Court and confirmed by a two-thirds majority of the Senate.
- Four Members: One nominee each from the Pakistan Institute of Development Economics (PIDE), the Lahore University of Management Sciences (LUMS), a recognized international economic institution, and a representative of Pakistan's business community nominated by the Federation of Pakistan Chambers of Commerce and Industry (FPCCI).
- Two Ex-Officio Members: The Auditor General of Pakistan and the Chairman of the Federal Board of Revenue, in non-voting advisory capacity.

8(3) — Powers and Functions

- Measure and certify the annual trade deficit figure within 90 days of each fiscal year end.
- Determine whether Trigger Thresholds have been met and issue formal Disqualification Recommendations to the Election Commission of Pakistan.
- Review and adjudicate Individual Exemption claims from Parliamentarians within 60 days of receipt.
- Publish an annual Economic Accountability Report, tabled before both Houses of Parliament and publicly released.
- Investigate and report on economic mismanagement, corruption affecting trade, and policy failures contributing to deficit widening.

8(4) — Independence Safeguards

- No member of the EPC shall be a current or former member of any political party, or shall have held any elected office in the preceding 10 years.
- EPC members shall have security of tenure and can only be removed by the Supreme Judicial Council on grounds of proved misconduct.
- The EPC's budget shall be a charged expenditure on the Federal Consolidated Fund, not subject to parliamentary vote.

PART IV — ADDRESSING ROOT CAUSES OF PAKISTAN'S CRISES

Article 9: Education Reform

Pakistan's Human Development Index rank is 168th out of 193 countries (2025). Adult literacy is approximately 60%, with significant gender gaps. Without a literate, skilled workforce, export-led growth is structurally impossible.

12. Education spending shall be constitutionally mandated at a minimum of 4% of GDP per annum. Any budget allocating less shall be unconstitutional and returnable to Parliament by the President for revision.
13. Provincial governments (which hold primary constitutional responsibility for education under the 18th Amendment) shall be required to achieve 100% primary school enrollment by 2030, with federal funding conditional on this milestone.
14. A National Skills Development Authority shall be established to align vocational training with export sector needs, targeting 2 million certified skilled workers annually by 2030.
15. Girls' education shall receive 60% of all new educational infrastructure spending until the gender enrollment gap is eliminated.

Article 10: Healthcare Reform

Pakistan's public health spending is approximately 1.3% of GDP — critically below the WHO-recommended minimum of 5%. This produces poor health outcomes, reduces workforce productivity, and increases poverty.

16. Public health spending shall be constitutionally mandated at a minimum of 3% of GDP, rising to 5% by FY 2030-31.
17. Universal Basic Health Insurance coverage shall be extended to all Pakistani citizens by 2029, building on the existing Sehat Sahulat programme.
18. The polio eradication programme shall be funded as a constitutional priority, with zero tolerance for programme interruption.

Article 11: Anti-Corruption & Asset Declaration

Corruption is estimated to cost Pakistan PKR 2-3 trillion annually. It distorts trade, inflates import costs through kickbacks, undermines tax collection, and drives capital flight.

19. All public officeholders — including Parliamentarians, Cabinet Ministers, senior civil servants (Grade 20 and above), and military officers of the rank of Brigadier and above — shall submit annual asset declarations to the National Accountability Bureau (NAB) and the Economic Performance Commission simultaneously.
20. Asset declarations shall be published online within 30 days of submission in a searchable, machine-readable format.
21. Any unexplained increase in assets beyond 20% of declared income in any given year shall be presumed, until proved otherwise, to be proceeds of corruption. The burden of proof rests on the officeholder.

22. A Whistleblower Protection Act shall be enacted within 12 months of this Amendment's commencement, providing full legal protection and financial rewards (up to 10% of recovered assets) to those who report corruption.

Article 12: Agricultural Modernisation

Agriculture contributes approximately 23% of Pakistan's GDP and employs 37% of the workforce, yet agricultural exports are severely underdeveloped relative to this potential.

23. A National Agricultural Transformation Plan shall be enacted within 18 months, with the goal of doubling food and agricultural exports from $7 billion to $14 billion by 2030.
24. Water conservation shall be constitutionally mandated as a national security priority. The construction of at minimum two new large-scale water reservoirs per decade shall be a constitutional obligation of the federal government.
25. Land reforms to consolidate fragmented smallholdings through cooperative farming models shall be incentivized through federal grants.

Article 13: Population Policy

Pakistan's population reached 257 million in 2026, growing at approximately 2.0% annually — one of the highest rates in Asia. Rapid population growth strains all public services and makes per-capita economic gains harder to achieve.

26. A voluntary National Family Planning Policy shall be funded at 0.3% of GDP, with targets to reduce population growth to 1.5% per annum by 2030.
27. Incentive schemes, including tax credits and educational scholarships, shall be provided to families with two or fewer children. No coercive measures are permitted.

PART V — IMPLEMENTATION, SAFEGUARDS & TRANSITION

Article 14: Transitional Provisions

28. This Amendment shall take effect from FY 2026-27 for measurement purposes. The first possible year for Tier 1 consequences is FY 2027-28.
29. The Baseline Trade Deficit is fixed at $37.33 billion (annualised FY 2024-25 figure). Parliament may, by a two-thirds majority and with EPC approval, revise the Baseline no more than once per five years.
30. The Economic Performance Commission shall be constituted within 180 days of this Amendment's commencement.

Article 15: Judicial Review

Any Parliamentarian subject to electoral disqualification under this Amendment may challenge the disqualification in the Federal Constitutional Court (established under the Twenty-Seventh Amendment) within 30 days of the EPC's determination. The Court shall decide within 60 days. The burden of proof rests on the Parliamentarian to establish individual exemption under Article 3(3).

Article 16: Amendment to this Amendment

The accountability provisions of Articles 3 and 8 of this Amendment may not be repealed or substantially weakened except by a three-fourths majority in both Houses of Parliament, followed by ratification in a national referendum. This supermajority requirement is designed to prevent parliamentary self-exemption.

Article 17: Relationship to Existing Constitutional Provisions

This Amendment shall be read in conjunction with:

- Article 62 & 63 of the Constitution (qualifications and disqualifications of members) — this Amendment adds economic accountability as an additional category of disqualification.
- Article 73 & 84 (money bills and supplementary grants) — budget legislation remains subject to existing parliamentary procedure, with EPC oversight added.
- Article 160 (National Finance Commission) — NFC distribution may be conditioned on provincial performance in literacy, health, and tax collection benchmarks established under this Amendment.

PART VI — EXECUTIVE SUMMARY & RESEARCH ANALYSIS

Background: Pakistan's Economic Crisis — The Facts

Pakistan's structural economic challenges are well-documented:

- Trade Deficit: $37.33 billion (annualised FY 2024-25). Pakistan imports nearly twice what it exports. The April 2025 monthly deficit alone was $3.39 billion — the highest since August 2022.
- External Debt: $138.01 billion (December 2025), representing one of the highest debt-to-export ratios in the developing world.
- Tax Revenue: Pakistan's tax-to-GDP ratio of approximately 9-10% is among the world's lowest, forcing chronic borrowing.
- GDP per Capita: $1,710 (nominal, 2026), ranking 162nd globally despite a $410.5 billion economy — reflecting deep inequality and unproductive economic structure.
- Human Development: Ranked 168th of 193 countries, with adult literacy around 60% and significant gender gaps.
- Remittances: A critical economic lifeline at approximately $35 billion annually (FY 2025), partially offsetting the trade deficit in current account terms.

Why Parliaments, Not Just Governments, Must Be Accountable

Pakistan's trade deficit is not a technocratic problem — it is a political one. Every budget is passed by Parliament. Every trade policy, tariff, and incentive scheme requires parliamentary approval. Every year that Parliament fails to reform the tax base, diversify exports, or reduce energy imports is a year of deliberate political choice. This Amendment constitutionalises the consequence of that choice.

Critics may argue that Parliamentarians cannot directly control global commodity prices or exchange rates. This is correct — which is why this Amendment provides: (a) graduated thresholds rather than a single trigger, (b) exemptions for global shocks, and (c) individual exemptions for genuinely dissenting members. The mechanism is designed to be fair, not punitive.

Corrections to the Original Proposal

The original proposal suggested disqualification of National Assembly members only. The following corrections have been applied:

- Both Houses Covered: The Senate also votes on budget legislation and bears equal responsibility. The Senate's six-year terms and rolling renewal (half the house every three years) means senators face disqualification from their next election rather than mid-term removal.
- Graduated Thresholds: A single trigger is too blunt. The graduated Tier 1/2/3 system is more legally defensible and economically rational.

- Individual Exemptions: Without this, the mechanism would be unconstitutional under Articles 17 and 25 of the Constitution (equality before law), as it would punish members regardless of their individual conduct.
- EPC Independence: An independent body, not the government itself, must measure and certify the deficit — otherwise the mechanism could be manipulated by the ruling party.

CONCLUSION

The Twenty-Eighth Constitutional Amendment proposed herein represents the most ambitious economic accountability framework in Pakistan's constitutional history. It does not replace democracy — it strengthens it by making elected representatives genuinely accountable for the economic outcomes they produce.

Pakistan has the human capital, the geographic position, and the natural resources to become a middle-income country within a generation. What it has lacked is the political will to make structural economic reforms. This Amendment creates constitutional compulsion where political will has failed.

The trade deficit accountability mechanism, combined with education, health, anti-corruption, tax, and export reforms, constitutes a comprehensive response to Pakistan's most pressing national challenges. It is respectfully submitted to the Parliament of Pakistan for debate, refinement, and enactment.

— End of Proposed Twenty-Eighth Constitutional Amendment —

Submitted for Parliamentary Debate | May 2026